

Class Plaintiffs are adequate representatives, and whether a class action is superior to resolution of claims on an individual basis. (*See generally* FACC ¶ 78, pp. 26-28.)

Sequoia and Alder raise concerns regarding the designation of documents produced if the cases are not consolidated, specifically a concern that the same documents may be produced with different document identification in the two cases which may create confusion. While that concern may be legitimate, it seems that the concern can be resolved by the parties agreeing on a method of production that identifies the party producing the document and the action or actions in which they document is produced, or the parties agreeing that certain documents produced in response to discovery in one case may considered produced and usable in the other case. The Court has confidence that the parties could reach a pragmatic arrangement to address the mechanics of document identification and production. Consolidation of the actions is not the solution where the majority of the parties to the Class Action are not parties to the Landlord Action and there is only a narrow overlap of issues.

D. Wasting Insurance Policy and Risk of Inconsistent Rulings

Moving parties raise a valid concern regarding the diminishing value of the insurance coverage for the claims at issue in these actions because the policy is a "wasting" policy, such that attorneys' fees and costs incurred in the actions reduce the balance of the policy available to pay any judgment or liability of Sequoia and Alder in the actions. They also raise the possibility of inconsistent rulings regarding whether the tenant security deposit statutes were violated and whether Sequoia and Adler improperly charged tenants for repairs and other expenses if the actions are not consolidated.

As to the diminishing insurance policy value, for the reasons stated above, it is not at all clear to the Court that consolidation will conserve or reduce discovery and other pre-trial litigation expenses. To the contrary, expense may increase with the increased scope of parties and issues in a consolidated action. There are potential mechanisms available to avoid duplication of discovery, such as stipulations and orders that depositions of witnesses and discovery concerning security deposits and tenant charges produced in the Class Action may also be used in the Landlord Action.

As to concerns regarding inconsistent rulings, the Court does not find consolidation of the actions is the solution given the reasons for not consolidating the actions set forth above. For example, determining the cases are "related" cases or that the Landlord Action meets the definition of a "complex" case so that the cases are handled in the same department and can be coordinated by one judge, or staying all or a portion of the Landlord Plaintiffs' action while the Class Plaintiffs' tenant security deposit and tenant charges claims are resolved, or other case management tools available to the Court under Code of Civil Procedure section 128 and the Court's inherent powers, may provide better alternatives to address the risk of inconsistent rulings.

E. Consolidation May Be Revisited

The pleadings in the Landlord Action are not yet settled. Sequoia and Alder have filed a demurrer to the 2AC in that case set to be heard in late February 2026. Further development in the cases may merit the Court revisiting consolidation at a later date. The Court exercises its discretion to **deny** consolidation for the reasons stated based on the current record in the actions, **without prejudice** to renewal of a consolidation motion if subsequent developments warrant.

8. 9:00 AM CASE NUMBER: C23-02821

CASE NAME: LESLEY HOWARD VS. LIBERTY ASSOCIATES GROUP, LLC

*HEARING ON MOTION IN RE: PRELIMINARY APPROVAL OF CLASS ACTION AND PAGA SETTLEMENT (CONTINUED FROM 01.08.26)

FILED BY:

TENTATIVE RULING:

Plaintiff Lesley Howard moves for preliminary approval of her class action and PAGA settlement with defendant Liberty Associates Group, LLC.

A. Background and Settlement Terms

The original complaint was filed by Plaintiff on November 6, 2023, raising class action claims on behalf of non-exempt employees, alleging that defendant violated the Labor Code in various ways, including failure to pay minimum and overtime wages, failure to provide meal breaks, failure to provide proper wage statements, failure to reimburse necessary business expenses, and failure to pay all wages due on separation. A First Amended Complaint adding PAGA claims was filed on February 5, 2024. A Second amended Complaint was filed on August 21, 2025 (pursuant to agreement of the parties) expanding the claims somewhat. It is the operative complaint.

The settlement would create a gross settlement fund of \$1 million. The class representative payment to plaintiff would be \$10,000. Attorney's fees would be \$333,333.33 (one-third of the settlement). Litigation costs would not exceed \$27,500. The settlement administrator's costs would be up to \$24,000. PAGA penalties would be \$100,000. The net amount paid directly to the class members would be about \$505,166.67. The fund is non-reversionary. Based on the estimated class size of 2,174, the average net payment for each class member is approximately \$232.

The proposed settlement would certify a class of all current and former non-exempt employees employed by Defendant during the class period.

The class members will not be required to file a claim. Class members may object or opt out of the settlement. (Aggrieved employees cannot opt out of the PAGA portion of the settlement.) Funds would be apportioned to class members based on the number of workweeks worked during the class period.

Various prescribed follow-up steps will be taken with respect to mail that is returned as undeliverable.

The proposed settlement provides that checks undelivered or uncashed 180 days after mailing will be voided, and the funds will be provided to the State Controller's Unclaimed Property Fund.

The settlement contains release language covering "any and all causes of action, claims, rights, damages, and penalties under California law that are alleged in the Second Amended Complaint in the action or that could have been alleged based on the facts alleged in the Second Amended Complaint[.]" (Settlement, Par. 3B.) Under recent appellate authority, the limitation to those claims with the "same factual predicate" as those alleged in the complaint is critical. (*Amaro v. Anaheim Arena Mgmt., LLC* (2021) 69 Cal.App.5th 521, 537 ["A court cannot release claims that are outside the

scope of the allegations of the complaint.” “Put another way, a release of claims that goes beyond the scope of the allegations in the operative complaint’ is impermissible.” (*Id.*, quoting *Marshall v. Northrop Grumman Corp.* (C.D. Cal.2020) 469 F.Supp.3d 942, 949.)

Informal written discovery was undertaken, and a data expert was retained for mediation. The matter settled after arms-length negotiations, which included a session with an experienced mediator.

Counsel attest that they have analyzed the value of the case, and that the result achieved in this litigation is fair, adequate, and reasonable. The moving papers include an estimate of the potential value of the case, broken down by each type of claim.

The potential liability needs to be adjusted for various evidence and risk-based contingencies, including problems of proof. PAGA penalties are difficult to evaluate for a number of reasons: they derive from other violations, they include “stacking” of violations, the law may only allow application of the “initial violation” penalty amount, and the total amount may be reduced in the discretion of the court. (See Labor Code, § 2699(e)(2) [PAGA penalties may be reduced where “based on the facts and circumstances of the particular case, to do otherwise would result in an award that is unjust arbitrary and oppressive, or confiscatory.”])

Counsel attest that notice of the proposed settlement was transmitted to the LWDA concurrently with the filing of the motion.

B. Legal Standards

The primary determination to be made is whether the proposed settlement is “fair, reasonable, and adequate,” under *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801, including “the strength of plaintiffs’ case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the state of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction ... to the proposed settlement.” (See also *Amaro v. Anaheim Arena Mgmt., LLC*, *supra*, 69 Cal.App.5th 521.)

Because this matter also proposes to settle PAGA claims, the Court also must consider the criteria that apply under that statute. Recently, the Court of Appeal’s decision in *Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, provided guidance on this issue. In *Moniz*, the court found that the “fair, reasonable, and adequate” standard applicable to class actions applies to PAGA settlements. (*Id.*, at 64.) The Court also held that the trial court must assess “the fairness of the settlement’s allocation of civil penalties between the affected aggrieved employees[.]” (*Id.*, at 64-65.)

California law provides some general guidance concerning judicial approval of any settlement. First, public policy generally favors settlement. (*Neary v. Regents of University of California* (1992) 3 Cal.4th 273.) Nonetheless, the court should not approve an agreement contrary to law or public policy. (*Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127.) Moreover, “[t]he court cannot surrender its duty to see that the judgment to be entered

is a just one, nor is the court to act as a mere puppet in the matter.” (*California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) As a result, courts have specifically noted that *Neary* does not always apply, because “[w]here the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutatory purpose.” (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 48, 63.)

C. Attorney fees

Plaintiff seeks one-third of the total settlement amount as fees, relying on the “common fund” theory. Even a proper common fund-based fee award, however, should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the use of a lodestar cross-check as a way to determine whether the percentage allocated is reasonable. It stated: “If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment.” (*Id.*, at 505.) Following typical practice, however, the fee award will not be considered at this time, but only as part of final approval. Counsel are directed to prepare a lodestar fee estimate for the motion for final approval.

The reasonableness of litigation costs and the settlement administrator’s fees will be considered at final approval.

Similarly, the requested representative payment of \$10,000 for plaintiff will be reviewed at time of final approval. Criteria for evaluation of representative payment requests are discussed in *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804-807.

D. Conclusion

The settlement includes claims made in the May 2, 2025, PAGA notices, which are encompassed in the Second Amended Complaint. Because one set of LWDA notices in question were filed before June 19, 2024, while the other was filed after that date, penalties attributed to the earlier notice must be allocated 25% to the aggrieved employees, while those attributed to the later notice must be allocated 35% to the aggrieved employees. (Labor Code §2699(m), (v)(1).) At the initial hearing, the Court indicated that the parties must agree on an allocation, and continued the hearing to enable the parties to address the issue. They have now entered into an Amended Settlement Agreement, which allocates 50% of the penalties to the pre-statutory change time period and 50% to the post-statutory change period. This is acceptable, and resolves that issue.

The Court find that the agreement is sufficiently fair, reasonable, and adequate, to justify preliminary approval, and grants the motion.

Counsel are directed to prepare an order reflecting this tentative ruling, the other findings in the previously submitted proposed order, and to obtain a hearing date for the motion for final approval from the Department clerk. Although the hearing date should be arranged through the Department 39 clerk, the hearing will be set in Department 16, the Honorable Benjamin Reyes, which is assigned

this case for all purposes as of March 1, 2026. Other dates in the scheduled notice process should track as appropriate to the hearing date. The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented. Plaintiffs' counsel are to submit a compliance statement one week before the compliance hearing date. 5% of the attorney's fees are to be withheld by the claims administrator pending satisfactory compliance as found by the Court.

9. 9:00 AM CASE NUMBER: C24-00320
CASE NAME: CHARLES BARRANTES VS. BEVERAGES & MORE, INC.
***HEARING ON MOTION IN RE: COMPLIANCE HEARING SET BY THE COURTROOM.**
FILED BY:

TENTATIVE RULING:

The Settlement Administrator's declaration shows that the settlement terms have been implemented. The Settlement Administrator is directed to disburse the remaining 5% of attorney's fees to plaintiff's counsel. No further proceedings are contemplated.

10. 9:00 AM CASE NUMBER: C24-00492
CASE NAME: THELMA JACKSON VS. JOHN PAULDING
***HEARING ON MOTION IN RE: CONFIRM REFEREE REPORT AND TO ALLOCATE SALE PROCEEDS (CONTINUED FROM: 12/11/2025 AND 01.08.26)**
FILED BY:

TENTATIVE RULING:

Introduction

Before the Court is the continued motion by Partition Referee David W. Martin ("Referee") for an order approving the Referee's Report and allocating and distributing the proceeds of the sale of 5648 Burlingame Avenue in Richmond, Contra Costa County, California. Referee David W. Martin has provided the Court with an updated and more detailed breakdown of costs and expenses of the allocation of the proceeds.

The Court has considered the statement of offset submitted by Defendant John Paulding. The Court will not grant any of the requested offset amounts. Assuming that they were otherwise proper, John Paulding failed to produce sufficient evidence supporting the amount or actual payment of the requested offset line items.

At the January 8, 2025, hearing the Court continued the hearing to give Defendants a chance to submit supporting documents to entail the detailed expenses.

The Court approves Referee David W. Martin updated proposed order for allocation of the proceeds for the sale of 5648 Burlingame Avenue in Richmond, Contra Costa County, California subject to including \$38,020.00 to Plaintiff for back rent for the subject time period less the property insurance paid by Defendants during the subject time period.

Legal Standard for Imposing Offsets During a Partition Action

California Code of Civil Procedure §872.140 provides: "The court may, in all cases, order allowance,